

10.6 PAYOFF CHARTS FOR LONG STRADDLE



Explainer Video

For instance, a person buys a lot size of 100 shares of XYZ at the money call option and put option at a Strike price of ₹400.

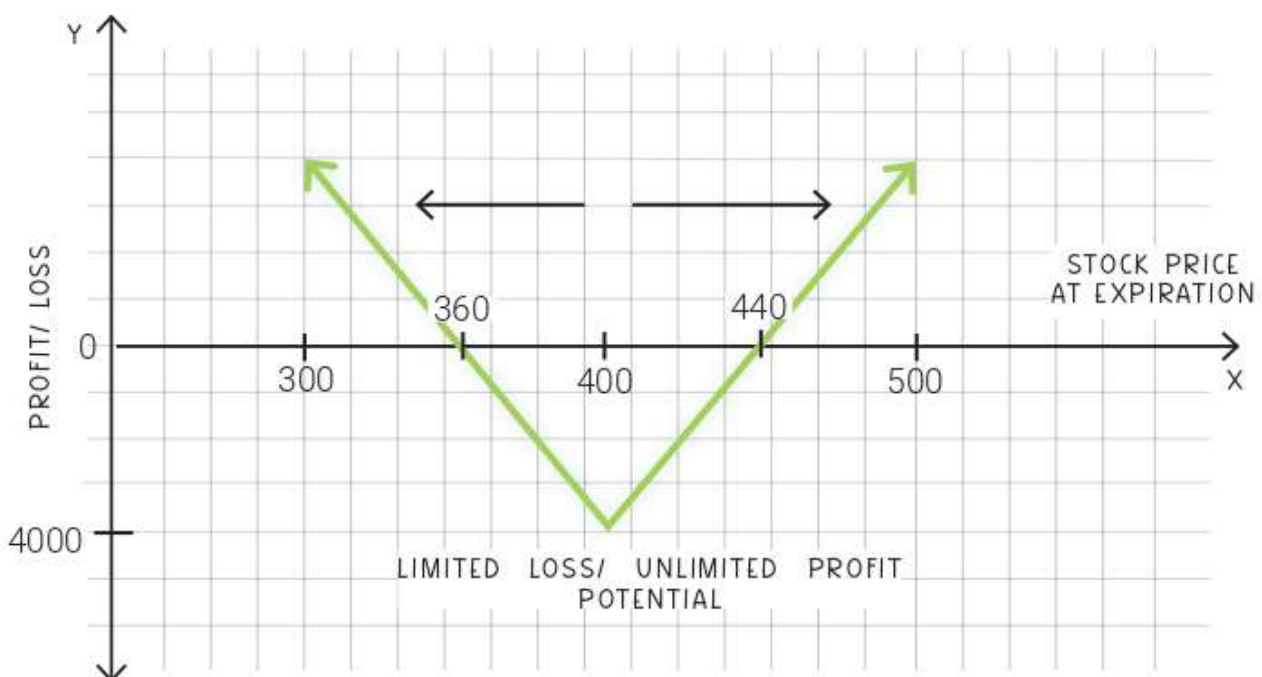
The premium for call = ₹19.

The premium for put = ₹21.



The total premium = ₹40 (₹19 + ₹21) x 100 (lot size)
= ₹4000 (Maximum Loss).

Therefore, the break-even range = ₹360 (₹400 – ₹40) to ₹440 (₹400 + ₹40).



The following is the graphical representation of a Long Straddle Option. The X-axis shows Profit or Loss. The Y-axis shows Stock Price at expiration.